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Accton Technology Corporation | Asia Pacific

Read-across from Arista's 2Q26 Results

We see positive implications for Accton from Arista's comments on the ongoing strong demand within networking.

Details:

- Arista Networks (covered by Meta Marshall) reported 2Q26 revenue of US \$3,036mn (+12% QoQ/+38% YoY), non-GAAP GM of 63.4%, non-GAAP OPM of 49.9%, and non-GAAP EPS of US\$1.03 (+17% QoQ/+39% YoY). Revenue was 8% higher than guidance of US\$2,800mn at the midpoint, GM was 0.9ppt higher, and OPM surpassed midpoint guidance by 3.4ppt.
- It guided for 3Q26 revenue of US\$3.3bn (+9% QoQ/+43% YoY), non-GAAP GM at ~63% (-0.4ppt QoQ), non-GAAP OPM at 48-49% (-1.4ppt QoQ at midpoint) and non-GAAP diluted EPS of US\$1.07 (+5% QoQ/+42% YoY). It was 12% and 17% higher than consensus revenue of US\$2,951mn and EPS of US\$0.92, respectively.
- Given its improved position in component supply, Arista raised its 2026 guidance again, to US\$12.6bn for revenue (+40% YoY; vs. prior US\$11.5bn, +28% YoY), including at least US\$3.5bn from AI fabric and US\$1.25bn from enterprise fabric. Non-GAAP GM target remained at 62-64%; OPM guidance was lifted to 48-49% (prior 46%).
- Management expects to see at least one new customer to cross the 10% revenue contribution threshold this year.
- Management expects the 1.6T to start trial ramp in 2H26 and mass production in 2027. The customer count is now at single digits for 1.6T, but they are very large customers.
- It sees the TAM for scale-across networks to reach US\$15bn (US\$20bn including optics) by 2030, vs. currently ~US\$3-4bn (Arista to capture US \$1.2bn this year).

Our view:

- We see positive implications from Arista's comment on stronger network switch demand in both AI and enterprise fabrics.
- We stay constructive on Accton. It should continue to benefit from the secular growth in network switches amid increasing data traffic, spec upgrades, and a wider customer base. The AI accelerator module business enjoys ever-increasing computing demand.
- The company is scheduled to report its 2Q26 results on August 6 (after market close).

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Accton Technology Corporation (2345.TW, 2345.TT)

Top Pick

Greater China Technology Hardware | Taiwan

Stock Rating	Overweight
Industry View	In-Line
Price target	NT\$3,800.00
Up/downside to price target (%)	59
Shr price, close (Aug 5, 2026)	NT\$2,385.00
52-Week Range	NT\$2,825.00-884.00
Sh out, dil, curr (mn)	559
Mkt cap, curr (mn)	NT\$1,332,996
EV, curr (mn)	NT\$1,272,344
Avg daily trading value (mn)	NT\$7,692

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	47.13	85.77	115.77	145.77
EPS (NT\$)§	45.42	77.68	115.26	161.41
Revenue, net (NT\$ mn)	248,320	396,284	507,015	619,002
EBITDA (NT\$ mn)	33,894	63,604	85,643	106,946
ModelWare net inc (NT \$ mn)	26,342	47,937	64,707	81,469
P/E	25.1	27.8	20.6	16.4
P/BV	11.5	14.1	9.3	6.5
RNOA (%)	622.3(1,508.8)	4,169.4	1,577.1	
ROE (%)	72.6	83.2	68.6	56.6
EV/EBITDA	17.8	19.5	13.9	10.6
Div yld (%)	0.9	0.8	1.1	1.4
FCF yld ratio (%)**	4.5	3.3	4.6	5.8
Leverage (EOP) (%)	(101.7)	(96.3)	(95.1)	(94.8)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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AlphaSignals Catalyst Event Reaction

Company / Catalyst	Date	Impact to thesis	Catalyst versus expectation
Accton Technology Corporation 2345.TW			
Arista Networks' 2Q26 Results	05 Aug 2026	Unchanged	↑ Modest upside surprise

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

Accton Technology Corporation (2345.TW)

Base case, P/E, which we believe better captures the company's earnings growth momentum. We assign a target P/E of 33x to our 2027 EPS estimate, which we view as justified by an operating profit CAGR of 48% for 2025-28, based on our estimates. This implies a PEG of around 0.7, vs. its average of 0.7 over 2019-25, when the stock was trading at a P/E of 22x for an operating profit CAGR of 32%.

Risks to Upside

- Stronger data center capex
- Faster network switch spec migration
- InfiniBand losing share in AI networks
- Stronger custom AI accelerator growth
- Stronger ODM direct business model adoption

Risks to Downside

- Weaker data center capex
- Slower network switch spec migration
- InfiniBand taking more share in AI networks
- Softer custom AI accelerator growth
- Softer ODM direct business model adoption

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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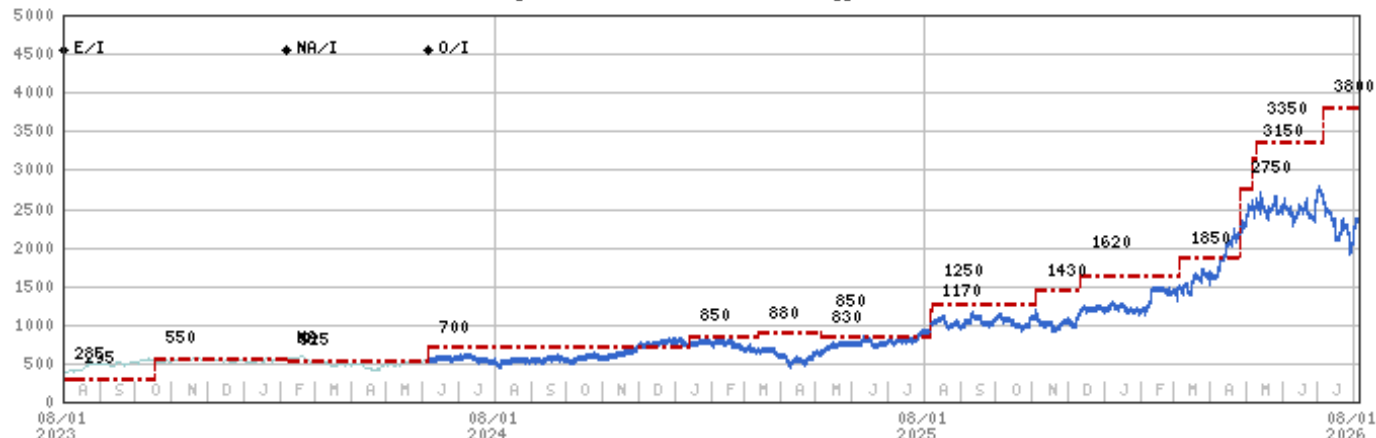
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Accton Technology Corporation (2345.TW) - As of 08/05/26 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 8/1/21 : O/I; 11/12/21 : E/I; 2/7/24 : NA/I; 6/6/24 : O/I

Price Target History: 7/28/21 : 336; 11/12/21 : 265; 1/10/22 : 280; 3/7/22 : 270; 5/13/22 : 235; 6/7/22 : 248; 8/12/22 : 275; 5/22/23 : 285; 8/10/23 : 295; 10/17/23 : 550; 2/7/24 : NA; 2/8/24 : 525; 6/6/24 : 700; 1/14/25 : 850; 3/13/25 : 880; 5/6/25 : 830; 5/9/25 : 850; 8/6/25 : 1170; 8/8/25 : 1250; 11/4/25 : 1430; 12/12/25 : 1620; 3/6/26 : 1850; 4/27/26 : 2750; 5/7/26 : 3150; 5/11/26 : 3350; 7/6/26 : 3800

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/05/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$41.94
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb171.55
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$24.64
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb8.15
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb17.18
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb424.30
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$533.00
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb23.71
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.82
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb38.44
Largan Precision (3008.TW)	O (07/10/2026)	NT\$4,575.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb7.80
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.97
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb55.87
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb7.87
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$7.41
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb47.32
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$36.06
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb56.90
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$59.45
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb216.85
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb17.08
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$27.64
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb312.40

Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$121.00
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb102.22
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb27.14
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb947.74
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$25.38
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb34.74
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,385.00
Advantech (2395.TW)	O (01/20/2021)	NT\$633.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,510.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$2,730.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$24.45
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$965.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,355.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.97
Chenbro (8210.TW)	O (07/23/2025)	NT\$1,170.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$1,885.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,650.00
E Ink Holdings Inc. (8069.TWO)	O (05/11/2026)	NT\$195.50
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$55.10
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$1,600.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$365.00
Innolux (3481.TW)	E (04/07/2025)	NT\$47.80
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$9,470.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb35.09
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$249.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.87
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.72
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb204.00
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$30.25
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$838.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$181.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$36.95
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$6.19
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb65.92
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$342.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$940.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$258.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb77.20
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,160.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$26.28
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,955.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,060.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$89.50
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$304.00
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb122.79
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb349.18
Unimicron (3037.TW)	O (02/23/2026)	NT\$969.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$388.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$193.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$6,175.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$578.00
Zhen Ding (4958.TW)	O (05/18/2026)	NT\$488.00

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